JUDGMENT SHEET

IN THE LAHORE HIGH COURT LAHORE
JUDICIAL DEPARTMENT

COS No.25 of 2011

Amtex Limited

Versus

Bankislami Pakistan Ltd. & others

J U D G M E N T

Date of Hearing.	18-03-2016, 21-03-2016, 28-03-2016, 30-03-2016, 01-04-2016, 04-04-2016 & 08-04-2016
PLAINTIFF BY:	Mr. Munawar ul Islam, Advocate.
DEFENDANTS BY:	Mr. Salman Akram Raja, Advocate for defendants No.1 to 8. Mr. Talib Hussain, Advocate for defendant No.9.

Shahid Karim, J:- This is a suit for declaration, cancellation of documents, permanent injunction and damages filed under the special jurisdiction conferred upon this Court under the Financial Institutions (Recovery of Finances) Ordinance, 2001 (**Ordinance, 2001**).

2. The plaint has the following prayer:

In view of the above, it is most respectfully prayed that this Honourable Court may pass a decree in favour the Plaintiff and against the Defendants in the following terms:

a) Declare that the Undertaking dated October 09, 2007, all provisions relating to purchase of Sukuk units at a pre-determined price of the Sukuk Units and the Guarantee are void, *unlawful and illegal documents being opposed to law, public policy, principles of Shariah and Islam and the Letter dated February 07, 2011 issued by the Defendant No.1 in pursuance of the same is illegal and unlawful.*

b) The Defendants No.1 to 8 may permanently be restrained from enforcing the Undertaking, any provision relating to purchase of Sukuk units at a pre-determined price and Guarantee against the Plaintiff and raising any demand thereunder.

c) Declare that in view of the nature of the transaction and amounts admittedly paid by the Plaintiff, the obligations of the Plaintiff towards the Defendant No.1 to 8 stands satisfied and discharged and the said defendants be permanently restrained from raising any demand thereunder and the transaction documents may kindly be cancelled.

d) Damages to the tune of Rs.562 million may kindly be awarded in favour of the Plaintiff and against the Defendant Nos.1 to 8, jointly and severally from the date of such damage, pendente lite and till realization."

3. On 24.11.2015, an application for leave to defend was accepted and leave was granted to the defendants as substantial questions of law and fact were held to arise in the suit. Vide order dated 21.12.2015, the following issues were framed:

"**Issues**

1) Whether the plaint discloses any cause of action?OPD

2) Whether the suit is maintainable in terms of Section 9 of the FIO, 2001 *and the plaint is liable to be rejected?OPD*

3) *Whether the plaintiff is entitled to a declaration that the undertaking dated October 09, 2007, all provisions relating to purchase of Sukuk units at a pre-determined price of the Sukuk Units, the Bank Guarantee issued by the defendant No.9 securing the purchase of the Sukuk Units and the letter dated February 07, 2011 issued by defendant No.1 are void, unlawful and illegal documents being opposed to public policy, principles of Shariah and Islam?OPP*

4) *Whether the plaintiff is entitled to a decree for permanent injunction restraining the defendants No.1 to 8 to enforce the undertaking dated October 09, 2007 any provision relating to purchase of Sukuk units at a pre-determined price and the Guarantee against the plaintiff and raise any demand thereunder?OPP*

5) *Whether the plaintiff is entitled to a decree for declaration that in view of the nature of the transaction and amounts admittedly paid by the plaintiff, the obligations of the plaintiff towards the defendant No.1 to 8 stands satisfied and discharged and as a consequence the transaction documents stand cancelled?OPP*

6) *Whether the plaintiff is entitled to a decree for recovery of damages as prayed for in the plaint?OPP*

7) *Relief."*

4. The learned counsel for the defendants urges that issues No.1 and 2 be determined ahead of the other issues as in his estimation any determination on these issues would have the

effect on the determination of the entire suit. According to Mr. Salman Akram Raja, Advocate, learned counsel for the defendants No.1 to 8, the instant suit could be decided on issues of law only and thus requests that issues No.1 and 2 be treated as issues of law and this Court tries those issues first. The parties were, therefore, called upon to advance their arguments on issues No.1 and 2 as this Court is of the opinion that the suit may be disposed of on the issues of law only and a regular trial on the issues of fact may not be necessary. This course is permissible under Order XIV, Rule 2 read with Order XV, Rule 3 of the Code of Civil Procedure (**CPC**).

5. The learned counsel for the plaintiff has taken this Court through different paragraphs of the plaint in order to establish that the plaint discloses cause of action. Further, with regard to issue No.2, the learned counsel has referred to various provisions of the Ordinance, 2001 in order to bring home that the ingredients and the jurisdictional facts for maintaining the instant suit do exist in the plaint and the suit is not only competent but should be taken to regular trial

and the parties be required to adduce their evidence, *pro* and *contra*, on the issues of fact which have been settled by this Court.

6. The suit was filed on 17.2.2011 and envisages a transaction to the tune of Rs.650 million. According to the plaint to which the learned counsel for the plaintiff has extensively referred, the defendant No.1 is the trustee and agent, acts on behalf of the defendants No.2 to 8 being Sukuk holders in terms of the underlying transaction amongst the parties. Paragraph 4 gives an insight into the background of the transaction and as to why the plaintiff was compelled to resort to the transaction in question. It was the desire of the plaintiff to transfer its financing business from commercial banking to Islamic mode of financing and in the year 2007, the defendant No.2 approached the plaintiff by representing itself as an Islamic Financial Institution, providing banking services strictly in accordance with Islamic mode of financing. Negotiations ensued between the plaintiff and the defendant No.2 on the representation that the mode of financing will be

Shariah compliant. The defendant No.2 offered the plaintiff a facility which envisaged a Shariah compliant diminishing Musharka on the principle of partnership in assets and sharing of proportionate profits and losses therein between the parties. In short, the plaintiff agreed to the availment of the facilities by issuance of privately placed Sukuk units based on diminishing character (Musharka Facility). These units were to be issued to a consortium of financial institution including the defendant No.2 which was to act as the Financial Advisor/ Lead Arranger as well as the major contributing financial institution. Paragraph 5 and 6 refer to the various facets of Islamic financing, the basis of which is that a financial institution and the customer invest their capital in a joint commercial venture on the basis of profit and loss sharing. It is mentioned therein that diminishing Musharka is also a recognized mode of Islamic financing and is a form of co-ownership in which two or more persons share the ownership of a tangible asset and by which one of co-owners undertakes to buy periodically the proportionate share of the other co-owner until the title to such tangible asset is completely transferred to the purchasing co-owner. This, it may be stated, is a common ground between the parties and the parties do not dispute the underlying theme which has been referred to and which underlies the transaction in question. Paragraph 6 refers to the policy of Government of Pakistan to shift banking business in Pakistan to the Islamic mode of financing and in pursuance of which the State Bank of Pakistan (**SBP**) which is regulator for monetary and credit system of Pakistan has from time to time issued various Circulars in order to lay down the contours and parameters of the Islamic mode of financing. In this regard, a reference has been made to BCD Circular No.13 of 1984 as also BPD Circular No.1 dated 01.01.2003 which are foundational Circulars which lay down policies for the promotion of Islamic Banking. The plaint alleges that SBP has adopted Sharia standards framed by Accounting and Auditing Organization for Financial Institutions (**AAOIFI**) which is an Islamic International autonomous not-for-profit corporate body that prepares accounting, auditing, governance, ethics and Shariah standards for Islamic financial institutions and the industry worldwide.

7. AAOIFI was established in 1991 and has the support of industrial members of 40 countries and the majority of world leading Shariah scholars are members of the AAOIFI Shariah Board. The entire basis of the cause of action contained in the plaint is heavily reliant upon the AAOIFI standards which, according to the learned counsel for the plaintiff, have to be complied with and are enforceable by the courts in Pakistan.

8. In a nub, the case set up in the plaint is that the transaction, entered into between the plaintiff and the Sukuk holders (defendants), on the one hand is beyond the Circulars of SBP and the transaction documents executed in respect of the facility guarantees an arrangement of fixed repayment of amount which cuts across the spirit and essence of the Islamic mode of financing.

9. The learned counsel for the plaintiff has made a reference to the documents which were

executed between the parties towards the availment of the finance facility and which documents taken cumulatively formed the basis of the transaction between the parties. The first document in the series of documents is the facility offer letter written to the plaintiff and containing the indicative terms and conditions for privately placed issue of Sukuk/Diminishing Musharka basis. The customer is the plaintiff and the facility is the privately placed issue of Sukuk (Shariah joint and based on diminishing Musharka). It was made clear in the facility offer letter that the facility was to be availed on the terms and subject to the conditions of the facility documents and all other related financing and security documents (transaction documents) each in form and substance acceptable to the financiers . The purpose of the facility was to pay back conventional banking facilities as also that the company wished to convert all of its financing to Shariah mode. The tenure was five years and it was agreed that the client was to purchase units at the end of the facility tenure. The next in the transaction documents is the agreement to Musharka dated 9.10.2007 between the plaintiff and the defendant No.2 which acted as the Investment Agent. It is pertinent to mention that the defendant No.2 was appointed as the Investment Agent by all the investors (defendants No.3 to 8) through the Investment Agency Agreement of even date. The recital to the agreement to Musharka gave an inkling into the nature of the transaction. It says:

> *"AND WHEREAS, the Investment Agent (acting for itself and for and on behalf of the Investors) has purchased an undivided beneficial share in the Musharaka Assets from the issuer pursuant to the Asset Purchase Agreement dated 09, October 2007 (the "Asset Purchase Agreement") entered into between the issuer and the Investment Agent. Such purchase of the undivided share in the Musharaka Assets has resulted in the creation of Shirkat-ul-Milk ("Musharaka") in the Musharaka Assets between the Issuer and the Investment Agent (as co-owners of the Musharaka Assets).*

10. This agreement also defined Musharka to mean that:

> *"The Shirkat-ul-Milk (partnership in Musharaka Assets) resulting from the purchase by the Investment Agent (on behalf of the Investors) of the undivided beneficial share in the Musharaka Assets pursuant to Asset Purchase Agreement and comprising of the Co-owners' joint ownership of the Musharaka Assets."*

11. It will at once be noticed by the terms of the Musharka agreement, reproduced above, that the investment agent purchased the undivided beneficial share in the Musharka assets which resulted in the creation of Shirkat ul Milk. The term 'Musharka' has also been defined and will be alluded to in the latter part of this judgment. The third document in the series is the Service Agency Agreement. A Trust Deed was also executed on 9.10.2007 between the plaintiff and the defendant No.2 acting as the Investment Agent. The Investment Agency Agreement is also annexed with the plaint which is also dated 9.10.2007. This agreement has been executed between the defendant No.2 and the defendants No.3 to 8 by which the defendant No.2 was appointed as the Investment Agent. An Asset Purchase Agreement was also signed on 9.10.2007. The relevant clause pertinent for the determination of the dispute in question is reproduced as under:

> *"Subject to the terms and conditions of this Purchase Agreement, the Seller, hereby, agrees to sell, transfer, convey and assign to the Investment Agent for the benefit of the Investors and the Investment*

> *Agent, for and on behalf of the Investors (which includes Investment Agent), hereby agrees to purchase from the Seller the Investors' Musharaka Share, subject to existing charges in favor of existing creditors as detailed in Schedule [F] hereto ("Existing Creditors'), for an aggregate purchase price of Rs.650,00,000/- (Pak Rupees Six Hundred Fifty Million Only) (hereinafter referred to as the "**Purchase Price**" or "**Total Consideration**") inclusive of all or any taxes. (In this Agreement, the term "Investors" shall mean and include BankIslami Pakistan Limited, Dawood Money Market Fund, Dawood Islamic Bank Limited, Trust Investment Bank Limited, First Dawood Investment Bank Limited and Saudi Pak Industrial & Agricultural Investment Co. (Pvt.) Limited being investors in respect of the Musharaka Assets and shall include any transferee and successor."*

12. It may be noted that the plaint is related to the Asset Purchase Agreement which was executed between the parties and whose cancellation has been sought in the relief clause of the plaint. No other agreement in the transaction documents has been called in question nor has the cancellation been sought in respect of any other agreement between the parties except the Asset Purchase Agreement. This aspect is significant and will be reverted to at the relevant time. According to the learned counsel for the plaintiff, all documents which

support the plaint have been annexed with the plaint and thus the requirements of section 9 of the Ordinance, 2001 stands completed.

13. Paragraph 7 of the plaint gives the list of the transaction documents executed between the parties. These are cumulatively referred to as Musharka Transaction Documents. Paragraphs 8 and 9 give an overview of the underlying transaction envisaged by the Musharka Transaction Documents. Suffice to say at this stage that the aggregate purchase price was Rs.650 million and it was constituted during the issuance of Sukuk units with each Sukuk unit constituting the equivalent of 0.00072% of the Musharka Assets. For the purposes of Musharka transaction, an Undertaking to purchase Sukuk units was also obtained from the plaintiff which was also dated 9.10.2007. Precisely, by the terms of the Undertaking, the plaintiff was required to purchase the Sukuk units, representing the percentage of ownership of the defendant No.2 and others in the Musharka Assets, at a pre-agreed price as stated in the Undertaking. A bank guarantee was also issued

by the defendant No.9 securing the purchase of the Sukuk units by the plaintiff. It is the last two documents i.e the Undertaking to purchase (**Undertaking**) and the bank guarantee (**Guarantee**), which are the subject matter of this suit and in respect of which declaration has been sought. As adumbrated, the nub of the plaintiff's case is that the Musharka asset was entered on the express representation and assurance by the defendant No.2 that it was a facility on the principles of joint participation and complying the Islamic mode of financing in its essence and spirit. In paragraph 2 has been mentioned the statement issued on February 8, by AAOIFI with regard to its Shariah standards and this is the document which forms the foundation for the relief sought in the instant suit. By referring to the paragraphs and cumulative reading of the plaint, the learned counsel for the plaintiff submits that the cause of action has clearly been mapped in the plaint to which a presumption of correction is attached. The bundle of facts which have clearly been laid down in the plaint can only be determined by evidence.

14. The learned counsel for the plaintiff on the basis of a reference to the plaint and by reading its contents has sought to invite this Court to hold that the issue No.1 is prima facie in favour of the plaintiff and the case must go to a regular trial. With regard to the issue No.2, the learned counsel makes a reference to section 9 of the Ordinance, 2001. It is conceded that the plaintiff is a customer and the defendants are financial institutions within the contemplation of the provisions of the Ordinance, 2001. According to the learned counsel, the defendants as financial institutions have committed a default in obligations cast upon the defendants by the transaction documents as also the Circular of SBP and therefore the suit is covered by the Ordinance, 2001. The definition of the term 'obligation' in section 2 (e) of the Ordinance, 2001 has been relied upon.

15. Mr. Salman Akram Raja, Advocate appearing on behalf of the defendants has dilated upon the contours of Order XIV, Rule 2 of the Code of Civil Procedure to submit that it was not necessary to confine the scrutiny to the

contents of the plaint merely and this Court can look on all the materials in its evidence while determining the issue of law on which the suit can be disposed of. He further submits that the agreements have been admitted by the plaintiff and the only challenge is that the Undertaking and the Guarantee are barred by Shariah. In taking this ground, the plaintiff has lost sight of the fact that the transaction documents of which the Undertaking and the Guarantee are a part were executed on 9.10.2007 simultaneously and as one transaction and cannot be read in isolation. According to him, the entire basis of the plaint is the AAOIFI standard which has no relevance in the laws of Pakistan until incorporated by the SBP in its Circulars. No challenge has been laid to the rental agreement. He states that the transaction is a variant of hire purchase and has been labeled as Sukuk. Mr. Salman Akram Raja has taken pains to elaborate upon the true nature of the transaction between the parties in order to submit that the transaction is not for the profit in the enterprise or the fixed return of capital or profits and is in the nature of

Shirkat ul Milk by which it is meant that for a limited period the defendants became equivalent the co-ownership in the Musharka Assets and not in the enterprise or the profit and losses of that enterprise. The transaction in simple terms is a purchase of ownership rights by defendants and by agreement the plaintiff re-purchased the share of ownership in that property from the defendants and for the use of that property during the period of Musharka agreement pays rent in respect thereof which is under a separate agreement. The tenure of the agreement was from 9.10.2007 to 8.10.2012. However, the agreement was terminated on 7.2.2011 on account of the default of the plaintiff. The plaintiff has not paid any amount towards the rent since 24.11.2010. Learned counsel for the defendants refers to the Undertaking and in particular to clause 4(i) to assert that the same price in respect of the repurchase of the Sukuk units and the ownership rights in the Musharka Assets have to be paid and there is no escalation in the said price. The only income derived by the defendants comes from the rent which the plaintiff is obliged to pay under the rent agreement which is a separate agreement which is not under challenge here.

16. Mr. Salman Akram Raja submits that no notification of the SBP has been urged to be violated in the plaint. According to him, the AAOIFI is merely an accounting standard which is at best in the nature of an information and is not binding on this Court. He has emphasized once again that the underlying transaction is Shirkat ul Milk which in any case is covered by the Circulars of the SBP as also the Circular issued by AAOIFI. In any case, according to the learned counsel, the AAOIFI standard relied upon is counter balanced by the guidance issued by Islamic financial services board on compilation and dissemination of prudential and structural Islamic finance indicators for banking and Islamic Financial services. This according to the learned counsel is a premier organization that promotes and enhances the stability of the Islamic financial services by issuing global prudential standards and guiding principles for the industry. The learned counsel entirely relies

upon Circular 13 issued by the SBP which is based on certainty of return even under the said Circular. The transaction according to him is squarely covered by the Circular and thus the transaction is SBP compliant. In this regard, Shariah approvals have also been attached with the application for leave to defend (now the written statement). Lastly, the learned counsel has attached a series of Sukuk units issued by the Govt. of Pakistan and managed by SBP which are of the same nature and no cavil has been taken to these Sukuk units issued by the SBP.

17. Mr. Munawar ul Islam, Advocate appearing on behalf of the plaintiff in rebuttal stated that the plaintiff was entitled to cross examination of the certificate issued by Shariah Advisor as clearly the transaction does not conform to the Islamic mode of financing and thus the representation given out to the plaintiff was incorrect and unlawful which has given rise to the cause of action of the present suit.

18. The matter has been heard on the issues No.1 and 2 which in the estimation of the learned counsel for the defendants are issues of

law and are sufficient to dispose of the suit. The issue No.2 related baseline questions of the amounts for determination. One whether the necessary jurisdictional facts exist for this Court to take cognizance of the matter in its special jurisdiction conferred by the Ordinance, 2001 and two if the jurisdictional facts do exist then whether the plaint at all discloses a cause of action or not. I shall deal with the first issue and in case it is held that the jurisdictional facts which exist for this Court to exercise jurisdiction, then the second question will be adverted to and determined. In *Reg v. Commissioners for Special Purposes of the Income Tax*, (1888) 21 Q.B.D 313 Lord Esher M.R. made it cler that it was for the Courts to construe the statute which gave jurisdiction to the Court. He said:

> *"This view of the section involves the result that the question, whether the party claiming has so satisfied the terms of the section, must be subject of inquiry with reference to the particular circumstances in each case…They have to determine the question and they must determine it….according to the rule I have laid down. When an inferior Court or tribunal or body, which has to exercise the power of deciding facts, is first established by Act of Parliament, the legislature has to consider what powers it will give that tribunal or*

body. It may in effect say that, if a certain state of facts exists and is shown to such tribunal or body before it proceeds to do certain things, it shall have jurisdiction to do such things, but not otherwise. There it is not for them conclusively to decide whether that state of facts exists, and, if they exercise the jurisdiction without its existence, what they do may be questioned, and it will be held that they have acted without jurisdiction. But there is another state of things which may exist. The legislature may entrust the tribunal or body with a jurisdiction, which includes the jurisdiction to determine whether the preliminary state of facts exists as well as the jurisdiction, on finding that it does exist, to proceed further or do something more."

19. For the purposes of determining whether the jurisdictional facts exist or not, section 9 of the Ordinance, 2001 is the starting point for any such discussion. Section 9 reads as under:

"9. Procedure of Banking Courts.- (1) Where a customer or a financial institution commits a default in fulfillment of any obligation with regard to any finance, the financial institution or, as the case may be, the customer, may institute a suit in the Banking Court by presenting a plaint which shall be verified on oath, in the case of a financial institution by the Branch Manager or such other office of the financial institution as may be duly authorized in this behalf by power of attorney or otherwise.

(2) The plaint shall be supported by a statement of account which in the case of a financial institution shall be duly certified under the Bankers Books Evidence Act, 1891 (XVII of 1891), and all other relevant documents relating to the grant of finance. Copies of the plaint, statement of account and

other relevant documents shall be filed with the Banking Court in sufficient numbers so that there is one set of copies for each defendant and one extra copy.

(3) The plaint, in the case of a suit for recovery instituted by a financial institution, shall specifically state---

(a) the amount of finance availed by the defendant from the financial institution;

(b) the amounts paid by the defendant to the financial institution and the dates of payment; and

(c) the amount of finance and other amounts relating to the finance payable by the defendant to the financial institution upto the date of institution of the suit.

(4) The provisions of section 10 of the Code of Civil Procedure, 1908 (Act V of 1908), shall have no application for and in relation to suits filed hereunder.

(5) On a plaint being presented to the Banking Court, summons in Form No. 4 in Appendix 'B' to the Code of Civil Procedure, 1908 (Act V of 1908) or in such other form as may, from time to time, be prescribed by rules, shall be served on the defendant through the bailiff or process-server of the Banking Court, by registered post acknowledgement due, by courier and by publication in one English language and one Urdu language daily newspaper, and service duly effected in any one of the aforesaid modes shall be deemed to be valid service for purposes of this Ordinance. In the case of service of the summons through the bailiff or process-server, a copy of the plaint shall be attached therewith and in all other cases the defendant shall be entitled to obtain a copy of the plaint from the office of the Banking Court without making a written application but against due acknowledgement. The Banking Court shall ensure that the publication of summons takes place in

> *newspapers with a wide circulation within its territorial limits."*

20. The learned counsel for the parties are on common ground with regard to the fact that the plaintiff is a customer and the defendants are financial institutions. The dispute which is sought to be resolved is regarding "a default in fulfillment of any **obligation** with regard to any finance". This is a *sine qua non* and confers a right on the customer or the financial institutions to bring a suit under section 9. Correspondingly, this constitutes the jurisdictional facts which must be in place for this Court to take cognizance of the suit. It will be borne in mind that this Court is a special Court and exercises limited jurisdiction which is hedged in by the terms of the law.

21. According to the plaint, the defendants have fallen in default in the fulfillment of their obligation with regard to the finance. It will bear repetition to state that the default which is being alleged is with regard to the misrepresentation regarding the transaction being in conformity with the Islamic modes of financing and banking.

The provisions of section 9 will have to be read in conjunction with the definition of obligation given in section 2(e) of the Ordinance, 2001. The term has been defined as follows:

"(e) "obligation" includes
(i) any agreement for the repayment or extension of time in repayment of a finance or for its restructuring or renewal or for payment or extension of time in payment of any other amounts relating to a finance or liquidated damages; and

(ii) any and all representations, warranties and covenants made by or on behalf of the customer to a financial institution at any stage, including representations, warranties and covenants with regard to the ownership, mortgage, pledge, hypothecation or assignment of, or other charge on, assets or properties or repayment of a finance or payment of any other amounts relating to a finance or performance of an undertaking or fulfillment of a promise; and

(iii) all duties imposed on the customer under this Ordinance."

22. It can be seen from a reading of the definition of the term 'obligation' that it includes any agreement for the repayment or extension of time in repayment of a finance or for its restructuring or renewal or for payment or extension of time in payment of any other amount relating to finance. The learned counsel for the plaintiff agrees that this part of the term 'obligation' does not apply to the subject matter of the instant suit and we are here concerned

with the part (ii) of the term 'obligation'. At first blush, section 2(e) (ii) is exclusively related to the representations, warranties and covenants made by or on behalf of the customer to a financial institution and not *vice versa*. The obligation envisaged by section 2(e) (ii) is only an obligation confined to certain duties cast upon the customer and which have to be fulfilled towards financial institutions and in case a breach occurs with regard to the representations and covenants made by the customer, this will give rise to a cause of action or the necessary jurisdictional facts to institute a suit under section 9 of the Ordinance, 2001. The learned counsel for the plaintiff does not take cavil with the proposition that the obligation envisaged by section 2(e) (ii) is an obligation on behalf of the customer towards the financial institution. However, he has sought to expand the scope of this obligation by relying upon the word "includes" which has been used while defining the term 'obligation'. The word "includes" according to him has been judicially interpreted to mean that the legislature intends to expand the meaning of a term rather than to restrict it and, therefore, the obligation under section 2(e) (ii) must be extended to include within itself the representations and warranties on behalf of the financial institution as well. This, it is submitted, is erroneous and has no legal legs to stand upon.

23. While interpreting the precise extent and sweep of the term "includes" it is imperative to take into consideration the setting and the context in which "includes" has been used. As a prefatory it may be stated that the definition of the term 'obligation' in Ordinance, 2001 is in the nature of an Interpretation Clause. The use of the term 'includes' in contradistinction to 'means' in an interpretation clause has been enumerated in different treaties on statutory interpretation. In *Craies on Statute Law*, it is said that:

> *"In most modern Acts of Parliament, there is an "interpretation clause" enacting that certain words when found in the Act are to be understood as regards that Act in a certain sense, or are to include certain things which, but for the interpretation clause, they would not include..."*
>
> *"There are two forms of interpretation clause. In one, where the word defined is declared to "mean" so and so, the*

> *definition is explanatory and prima facie restrictive. In the other, where the word defined is declared to "include" so and so, the definition is extensive, e.g. "sheriff" includes "under-sheriff." Sometimes the definition contains the words "mean and include," which inevitably raises a doubt as to interpretation."*

24. The Construction of Statutes, by Crawford, treats the subject thus:

> *"92. Interpretation Clauses.—The legislature can define its own language and prescribe rules for its construction which will generally be binding on the courts. Such legislative definitions need not be strictly in accord with the ordinary meaning of the language defined. Yet interpretation clauses should not be used to give new meaning to plain words; rather, if they are to be used, they should be employed to fix the meaning of words which are ambiguous or equivocal, although even this use has been looked upon with disfavor, particularly since the words used in declaring the meaning of other words, may also need interpretation. And there is this additional danger; the legislature may use the same although the definition of the legislature should not apply to the word in one or more places, there may be nothing in the statute to indicate differently."*

25. Similarly, in *Reading Law: The Interpretation of Legal Texts,* by Antonin Scalia and Bryan A. Garner, the following observations may be referred to:

> *"In normal English usage, if a group "consists of" or "comprises" 300 lawyers, it contains precisely that number. It if*

> *"includes" 300 lawyers, there may well be thousands of other members from all walks of life as well. That is, the word* ***include*** *does not ordinarily introduce an exhaustive list, while* ***comprise****—with an exception that we will discuss shortly—ordinarily does. That is the rule both in good English usage and in textualist decision-making. Some jurisdictions have even codified a rule about* ***include****.*
>
> *Often the phrase that appears is* ***including but not limited to****—or either of two variants,* ***including without limitation*** *and* ***including without limiting the generality of the foregoing****. These cautious phrases are intended to defeat the negative-implication canon (S 10): "Even though the word* ***including*** *itself means that the list is merely exemplary and not exhaustive, the courts have not invariably so held. So the longer, more explicit variations are necessary in the eyes of many drafters." Even so, the commonness of these belts-and-suspenders phrases does not lessen the exemplariness of* ***include****."*

26. However the canon that 'includes' expands rather than restricts the meaning has to be set against countervailing canons which lay down equally binding rules that the statute has to be read as a whole as also that the purpose and policy of the Act has to be kept in view at all times.

27. From a reading of the definition of the term "obligation', reproduced above, it is clear that the term 'includes' has been used in order to encompass the two kinds of obligations given in

the provision and must remain confined to it. These two obligations have to be connected and have been sought to be gelled together by the word 'and' occurring between section 2(e) (i) and (ii). Therefore, 'includes' in section 2(e) has been used merely to denote the two kinds of obligations spelt out in that provision. In my opinion, "includes" in section 2(e) (ii) will not be used as a whole to expand the meaning of the term 'obligation' so as to defeat the intent of the legislature. The term 'obligation' is merely confined to the two different concepts of obligations given in section 2(e)(ii) and the term 'includes' has been used to connect these two concepts. In fact, a reading of section 2(e) would bring forth ineluctably that the term 'obligation' has been defined by the legislature to be restricted to the meaning assigned to that term in the peculiar context of the Ordinance, 2001. We must bear in mind that the Ordinance, 2001 is a special law and jurisdiction of this Court has been carved out from the general jurisdiction of the courts and, therefore, the jurisdiction conferred by legislature cannot be expanded beyond the parameters intended by the legislature. The law may establish special courts to deal with special matters and give them jurisdiction to decide these matters. Such a special jurisdiction may be carved out from the general jurisdiction of the courts. It was held in *Brother Steel Mills Ltd. and others v. Mian Ilyas Miraj and 14 others* (**PLD 1996 SC 543**) at p. 569:

> *"…Two propositions emerge clearly: First, that the jurisdiction of the Courts is never established by themselves, it is established by an authority external to them, either in the Constitution or in law. (See Constitutional Interpretation by Craig R. Duct and Harold W. Chose, 5th Edn. at p.5). Secondly, it is for the Constitution and subject to the Constitution, for the law to determine the nature and extent of the jurisdiction and the forum upon which it will be conferred. Article 175 of the Constitution does not use such expressions as 'ordinary', 'extraordinary', 'statutory' or 'special' in relation to 'jurisdiction or Court'. These expressions may have been useful in a particular context in the past, in the present context, they are equivocal and can, therefore, be misleading."*

28. In *Akhtar Ali v. Altaf-ur-Rehman* (**PLD 1963 Lah. 390 FB**), Chief Justice Manzoor Qadir, speaking for the Full Bench expounded the forms which an objection to jurisdiction of a Tribunal may take as follows:

> i. *that the law under which the tribunal is created is defective or invalid;*
> ii. *that the tribunal is not constituted or appointed validly under the law,;*
> iii. *that the party or parties is or are not amenable to the jurisdiction of the tribunal; and*
> iv. *that the subject-matter is outside the field in which the particular court is competent to act."*

29. On the basis of authorities, it was agreed that:

> 1) *that when objection is taken to the jurisdiction of a tribunal, that objection must be treated as a preliminary objection and must be resolved before taking any further action;*
> 2) *that it can never be too late to admit and give effect to the plea that an order has been made without jurisdiction and is a nullity;*
> 3) *that objections falling under the third and fourth categories can be determined by a tribunal of limited jurisdiction."*

30. We are here concerned with the third and fourth objection. This rule was affirmed in *Sabir Shah v. Shah Muhammad Khan* (PLD 1995 SC 66, 141).

31. While putting a construction on the term 'obligation', the purpose of defining the term in a certain manner has to be kept in view. Obviously, had the legislature intended the representations and covenants made by the

financial institution to be part of 'obligation' so as to premise and found the suit under section 9, it would have spelt it out clearly and without equivocation. The intent of the legislature is not in doubt. It is that any alleged default in fulfillment of any obligation regarding any representation, warranties and covenants by a financial institution is not enforceable in the special jurisdiction under Ordinance, 2001. This construction also lends credence to the scheme and policy of the Ordinance, 2001 which has been enacted primarily to act as an engine of recovery of defaulted finance by the financial institutions and not vice versa. The customers may have a cause of action but that is enforceable in the Courts of general jurisdiction only. The definition of the term 'obligation' in fact restricts the meaning of the term within a certain periphery. Rather than expanding it, the meaning is exhausted and limited. It is limited to only two facets of obligation. A contextualist approach will have to be employed here. It is equally true that rules of interpretation are merely tools employed by Courts to ascertain the true meaning of a provision in a statute in case of ambiguity. These rules are not immutable and are subject to exception. Every rule, in a given situation, is capable of being administered differently and according to context, with necessary variations.

32. Secondly, for various reasons, the term 'includes' does not expand the scope of the term 'obligation' so as to include the nature of the suit filed by the plaintiff. As stated above, this is a special jurisdiction conferred upon this Court and can only be triggered if a default in the fulfillment of any obligation is committed. Therefore, any question regarding the expansion of the meaning of the term 'obligation' will be in the realm of a question of jurisdiction and it will have to be seen in that perspective. What is sought to be urged by the learned counsel for the plaintiff would, in fact, result in the assumption of jurisdiction by this Court on the subject matter of the suit which is not amenable to the jurisdiction of this Court. Simply put, this Court will have jurisdiction in case of any allegation of default in the fulfillment of any representations,

warranties and covenants made by or on behalf of the customer but will not assume jurisdiction if the allegation is that the default is committed in respect of any representations, warranties and covenants made by or on behalf of the financial institution. There is a world of difference in the two concepts and the legislature has conferred jurisdiction on this Court with regard to the former and not the latter. The jurisdiction of this Court cannot be enlarged on the basis of any rule of interpretation propounded by the courts.

33. As adumbrated, a reference to various paragraphs of the plaint bring forth indubitably that the fundamental sinew of the plaintiff's case is that the defendants have run foul of their obligations and have committed default in the representations, warranties and covenants made by or on their behalf. This is clearly beyond the nature of obligation contemplated by the Ordinance, 2001 and thus not amenable to the jurisdiction of this Court. As was held in *State v. Zia-ur-Rehman* (**PLD 1973 SC 49 at 77**), "If there is a dispute on the point as to whether a court has or has not jurisdiction over a certain

subject-matter, it can certainly hear and determine that dispute, even if the result be that it had to hold that it has no jurisdiction."

34. In view of the above, the issue No.2 is decided against the plaintiff and in favour of the defendants. Since this Court lacks the jurisdiction, there is no finding on issue No.1 and the plaint is returned to the plaintiff to be presented to the court in which the suit should have been instituted.

35. **Plaint returned.**

(SHAHID KARIM)
JUDGE

Announced in open Court on 25.04.2016.

Approved for reporting.

JUDGE

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Rafaqat Ali